

of the plans, to the consultants, and other fees as well. Fees must be disclosed in mutual funds, but few investors saving for retirement know the fees they are paying, including the fees in the mutual funds holding their retirement monies. It was only on August 30, 2012, that the U.S. Department of Labor, which has jurisdiction over retirement savings plans, required that participants be given a breakdown of fees.¹⁸ According to ICI, mutual funds accounted for \$4.7 trillion, or 26 percent, of the \$17.9 trillion U.S. retirement assets at the end of 2011. Households held 55% of their defined contribution pension plan money and 45% of their IRA money in mutual funds.

Mutual fund governance is much weaker than that of regular corporations.¹⁹ Mutual funds are legally separate from the firms that market, sell, and run them. Having a board of directors gives a veneer of independence. But fund managers' real loyalty lies with the firm that runs the funds, rather than with the investors who are the owners of the fund. The relationship is incestuous, and investors lose. Many directors of the mutual fund—especially the board chair—are insiders of the investment advisory firm. Fund directors usually do not, and in many cases cannot, independently verify the information given by the advisor. Separating the fund's governance from its sponsor is not enough to ensure protection of the investors.

The Supreme Court has upheld this legal separation between the fund and the fund management company even though for all practical purposes mutual funds are run by mutual fund companies. *Janus Capital Group vs. First Derivative Traders* was one of the cases generated by Janus's market timing scandal in 2003.²⁰ In June 2011, the Supreme Court ruled that Janus's funds, not the Janus fund management company, were responsible for misleading language in their prospectuses that permitted the market timing that short-changed other investors. Legally, it was all the fault of Janus's funds. Janus the firm got a free pass, even though it sponsored, marketed, and managed the funds.²¹

2.4. SUMMARY

The advantage of being a registered investment company that is you can raise money directly from the public. To protect the little guy, the 40-Act puts restrictions on registered investment companies. The Act mandates disclosure

¹⁸ See the GAO Report, "Defined Contribution Plans: Approaches in Other Countries Offer Beneficial Strategies in Several Areas," released in March 2012.

¹⁹ See Radin and Stevenson (2006).

²⁰ See Henriques, D. B., "A Mutual Fund Ruling Remains a Head-Scratcher," *New York Times*, July 7, 2012.

²¹ In 1974, John Bogle founded the Vanguard Group—which changed the investing world by making index funds available for the mass market—by exploiting the legal separation between the fund and the sponsoring company. After being fired from Wellington Management, Bogle persuaded the board of the Wellington Fund to part ways with Wellington Management to find a new investment manager. See Bernstein (2010).